

The interest rate is right there in black and white, what it will be for each year of the loan. The terms are stated clearly, and you sign your name, agreeing to those terms. A month later, the mortgage broker can't call up Ed and say, "Oh, I see you were thirty seconds late on your car payment so I am going to increase your interest rate on your home mortgage payment. More money for me! Too bad for you! It's always a pleasure doing business with you, bye-bye!"

The same standard contract rules apply for car loans too. When they bought a second car for Sue a few years ago, Ed and Sue again signed a contract that stated the terms clearly. The amount borrowed, the interest rate, and the total amount that will be paid over the duration of the loan were plain to see. That is how contract law is supposed to work. In *Secret History of Credit Cards*, Warren said, "I've read my credit card agreement, and I can't figure out the terms. I teach contract law, and the underlying premise of contract law is that the two parties to the contract understand what the terms are."

Credit card companies do not have to play by these rules. Ed and Sue bought a new television a few years ago for \$1200. Unexpected medical bills came up when their son broke his leg and they were not able to pay off the balance in full. They were hit with a higher interest rate and a late fee for paying one day late. The balance had to roll over for a few months until they could pay it off, and that \$1200 television ended up costing them nearly \$2000 in a very short time.

The credit card issuers can raise interest rates, and lower credit limits, and tack on various fees, seemingly at whim. "It's Tuesday, let's raise the rates." Why do they do this? Because they can.

Turning on the Lights

How many times have you heard the phrase, "Let's shed a little light on this"? When we put something under the light, we see it for what it really is. When a child is afraid, the first thing we do is turn on the light and show them that there is nothing to be afraid of.

When it comes to *Debt Cures*, you get the benefit of the light shining and exposing the credit card industry for what it really is. Now you can see that there is nothing to be afraid of. The monster under